

Wheel Alignment & Tire Service Shop

Business Plan & Financial Projections — Moncton, New Brunswick

Base scenario: **Moncton**, **Lean** setup · 2-bay shop · all figures CAD, excluding 15% HST

Prepared October 2026

Key figure	Value
Total startup cost	\$85,500
Owner equity required	\$25,650
Loan (70% financed)	\$59,850
Year 1 net profit (pre-tax)	\$16,534
Year 3 net profit (pre-tax)	\$279,056
Breakeven (with tire services)	2.3 alignments/day
Equity payback	Month 13

Projections are estimates built from published wage and rent data and typical market prices. Verify with local quotes before committing funds. Companion spreadsheet: [NB_Wheel_Alignment_Financial_Model.xlsx](#).

1. Executive Summary

This plan describes an independent wheel alignment and tire service shop in Moncton, New Brunswick. The core service is computerized 4-wheel alignment, bundled with wheel balancing, seasonal tire changeovers, tire storage and suspension/tire sales. New Brunswick's freeze-thaw cycles, pothole-heavy spring season and near-universal winter/summer tire changeovers create steady, seasonal demand.

The lean setup requires about **\$85,500** in startup capital, of which **\$25,650** is owner equity and **\$59,850** is financed (e.g., Canada Small Business Financing Program or BDC). The shop is projected to earn **\$16,534** pre-tax in Year 1 while ramping up, rising to **\$200,768** in Year 2 and **\$279,056** in Year 3 at maturity (about 9 alignments per day).

Why this can work

- High-margin service: alignment labour carries a 75–85% gross margin once equipment is paid for.
- Twice-yearly tire changeover rush fills the shop and generates natural alignment upsells.
- Tire storage creates recurring, prepaid revenue and brings customers back every season.
- Few independents in NB offer ADAS camera recalibration — a growing, high-value niche.
- Referral channel: mechanics, body shops and used-car dealers without their own aligner.

2. Market Overview

Market	Metro pop. (approx.)	Notes
Moncton–Dieppe	~180,000	Fastest-growing NB metro; logistics and commuter hub
Saint John	~135,000	Industrial base, lower rents
Fredericton	~115,000	Government/university city, higher tech wages

Demand drivers

- Harsh winters and freeze-thaw cycles create potholes; March–May is peak alignment season.
- Most drivers swap winter/summer tires (Oct–Dec and Apr–May).
- Long highway commutes (Trans-Canada, Routes 1 and 2) accelerate tire and suspension wear.
- Newer vehicles increasingly require ADAS recalibration after alignment.

Competition

Canadian Tire, Kal Tire, Fountain Tire, OK Tire, Midas, Speedy, dealerships and independent garages. An independent shop competes on fast booking, transparent pricing, accurate modern equipment, strong Google reviews and personal service.

3. Services & Pricing

Service	Planned / typical NB price (CAD, excl. HST)
Alignment check	\$30–60 (free with other service)
Front (2-wheel) alignment	\$80–120
4-wheel alignment	\$110–170 (model uses \$135)
Truck / lifted / luxury	\$150–250
Lifetime alignment package	\$200–300
ADAS recalibration	\$200–450
Wheel balancing (4 wheels)	\$60–100 (model uses \$80)
Seasonal tire swap (on rims)	\$50–90 (model uses \$70)
Mount & balance (off rims)	\$100–160
Tire storage, per season	\$60–100 (model uses \$80)

4. Startup Costs

Item	Lean	Pro
Wheel alignment machine	\$15,000	\$47,500
Alignment lift (4-post or scissor)	\$12,500	\$24,000
Wheel balancer	\$5,000	\$11,500
Tire changer	\$5,000	\$11,500
Compressor, air lines, tools, impact guns	\$6,500	\$15,000
ADAS calibration kit	\$0	\$30,000
Leasehold improvements, signage, computer & software	\$14,000	\$42,500
Rent deposit, insurance, permits, launch marketing	\$7,500	\$15,000
Working capital (≈3 months)	\$20,000	\$45,000
Total startup cost	\$85,500	\$242,000

Base scenario uses the **Lean** column. Buying used equipment or taking over an existing garage can cut these costs by 30–50%.

Financing

Item	Value
Share financed	70%
Interest rate	8.5%
Term	7 years
Loan amount	\$59,850
Monthly payment	\$948
Owner equity	\$25,650

5. Operating Costs

Monthly cost	Amount	Basis
Rent	\$4,400	2,200 sq ft × \$24/sq ft/yr gross
Technician wages	\$11,141	2 techs × 173 hrs × \$28/hr + 15% burden
Utilities incl. winter heat (\$/month)	\$1,300	
Garage liability insurance (\$/month)	\$650	
Software, phone, internet (\$/month)	\$400	
Marketing (\$/month)	\$700	
Accounting & legal (\$/month)	\$300	
Misc., repairs, equipment calibration (\$/month)	\$400	
Loan payment	\$948	
Total fixed monthly costs	\$20,239	Plus consumables (4%) and card fees (2%)

Wage basis: NB average automotive technician pay is about \$20/hr (range \$17–27) per Payscale and Job Bank; an experienced alignment/Red Seal technician is assumed at a higher rate.

6. Three-Year Financial Projection

	Year 1	Year 2	Year 3
Alignments	1,207	2,020	2,376
Alignment revenue	\$162,919	\$272,646	\$320,760
Balancing revenue	\$38,618	\$64,627	\$76,032
Tire swap revenue	\$28,508	\$53,550	\$63,000
Storage revenue	\$18,000	\$34,000	\$40,000
Parts & tire gross profit	\$24,380	\$40,800	\$48,000
Total revenue & gross profit	\$272,425	\$465,623	\$547,792
Total costs	\$255,891	\$264,856	\$268,736
Net margin	6.1%	43.1%	50.9%
Avg. net profit / month	\$1,378	\$16,731	\$23,255
Net profit (pre-tax)	\$16,534	\$200,768	\$279,056

Year 1 volume starts at 25% of the mature level and climbs monthly to 85% by Year 2; Year 3 is at full maturity. Opening month: April. Figures are before income tax and before owner salary.

Year 1 month by month

Month	Volume %	Alignments	Revenue & GP	Costs	Net profit	Cumulative
Apr	25%	64	\$15,196	\$20,947	(\$5,750)	(\$5,750)
May	30%	77	\$25,181	\$21,227	\$3,953	(\$1,797)
Jun	35%	69	\$12,973	\$20,933	(\$7,960)	(\$9,757)
Jul	40%	71	\$13,344	\$20,953	(\$7,609)	(\$17,367)
Aug	45%	80	\$15,012	\$21,043	(\$6,031)	(\$23,397)
Sep	50%	99	\$18,533	\$21,231	(\$2,698)	(\$26,095)
Oct	55%	120	\$27,622	\$21,543	\$6,079	(\$20,016)
Nov	60%	119	\$45,580	\$21,896	\$23,683	\$3,667
Dec	65%	103	\$23,369	\$21,353	\$2,017	\$5,684
Jan	70%	111	\$20,757	\$21,350	(\$593)	\$5,091
Feb	75%	119	\$22,240	\$21,429	\$810	\$5,901
Mar	80%	174	\$32,618	\$21,985	\$10,633	\$16,534

7. Breakeven & Payback

Measure	Value
Contribution per alignment (incl. balancing attach)	\$157
Other monthly gross profit at maturity (tires, storage, parts)	\$12,412
Fixed monthly costs	\$20,239
Breakeven alignments/day (with tire services)	2.3
Breakeven alignments/day (alignment only)	5.9
Month cumulative profit repays owner equity	Month 13

City comparison (mature year, same shop)

City	Mature net profit / yr	Breakeven / day	Rent / month
Moncton	\$279,056	2.3	\$4,400
Saint John	\$241,262	2.0	\$3,667
Fredericton	\$242,014	2.2	\$4,033

Assumes maturity of 9 alignments/day in Moncton and 8 in Saint John and Fredericton.

8. Operations & Marketing

- Location: industrial/commercial strip near tire shops, mechanic clusters, highway access or dealerships.
- Equipment: 3D/CCD aligner with current vehicle database, alignment lift, balancer, tire changer; ADAS kit in Pro setup.
- Staffing: two technicians (owner may be one), online booking, shop management software.

- Marketing: Google Business profile and reviews, Google ads in spring and fall, referral deals with mechanics and body shops, fleet accounts (taxis, delivery vans, contractors, municipal fleets).
- Upsells: balancing with every alignment, lifetime alignment packages, tire storage, suspension repairs.

9. Licences, Registration & Funding

- Register the business with Service New Brunswick or incorporate (provincial/federal).
- CRA business number and GST/HST registration (15% HST in NB).
- WorkSafeNB registration once you have employees.
- Municipal zoning and occupancy/business permit for automotive use.
- Used tire and oil disposal; Tire Stewardship NB program.
- Optional: NB Motor Vehicle Inspection Station licence (requires licensed mechanic; brings steady traffic).
- Funding: CSBFP loans via banks, BDC, Futurpreneur (ages 18–39), Opportunities NB, ACOA, supplier lease-to-own.

10. Risks & Mitigation

Risk	Mitigation
Slow first-year volume	Working capital buffer; tire swap and storage marketing before first fall season
Competition from chains	Faster booking, transparent pricing, reviews, ADAS niche
Seasonal dips (Dec–Feb, summer)	Fleet contracts, lifetime packages, suspension repair work
Equipment cost / calibration	Used or leased equipment; annual calibration budgeted
Technician availability	Competitive wage, apprenticeship pathway, owner-operator option

11. Next Steps

- Get 3 quotes each for equipment, lease space and insurance; update the spreadsheet inputs.
- Visit competitors and confirm local prices and booking wait times.
- Meet a bank/BDC advisor about CSBFP financing; prepare this plan and the spreadsheet.
- Register the business, open accounts, and line up referral partners before opening.

Sources: Payscale – Automotive Service Technician pay, New Brunswick (2026); Government of Canada Job Bank wage data, NB; CBRE Moncton figures Q2 2026; Realtor.ca Moncton industrial listings; Sunbit alignment cost guide. Prices, rents and equipment costs are estimates.